

SC.1 Owner-Builder Exemption Walkthrough

The statute, the disclosure you sign at the counter, the notice you file afterwards, and the three thresholds that decide who you may pay.

Before you use this document

This is a process reference, not legal advice. South Carolina is a mandatory-enforcement state: § 6-9-10 orders every municipality and county to enforce the state code, and to enforce *only* that code, so the question that dominates most states in this series — will anyone inspect this house? — has a statutory answer here. What South Carolina replaces it with is a stack of small obligations with hard consequences: a disclosure you sign in person, a notice you file at the register of deeds afterwards, an energy code fixed by statute rather than by the code council, and a coastline the law forbids anyone to describe county by county. Fees, portals, review queues and the extra permits your particular lot triggers still vary. Confirm every item with the office that will actually handle your parcel before you rely on it.

THE EXEMPTION, IN ONE SENTENCE

South Carolina licenses residential builders through the **Residential Builders Commission**, and the exemption that lets you build your own house without one is a single subsection. It opens by removing the entire chapter from you rather than by granting you a permission:

“This chapter does not apply to an owner of residential property who improves the property or who builds or improves structures or appurtenances on the property if: (1) the owner does the work himself, with his own employees, or with licensed contractors or registered entities or individuals; (2) the structure, group of structures, or appurtenances, including the improvements, are intended for the owner's sole occupancy or occupancy by the owner's family and are not intended for sale or rent; and (3) the general public does not have access to this structure.”

S.C. Code Ann. § 40-59-260(A). Note the cite. Some published guides put the owner-builder exemption at § 40-59-30; that section is License requirement; enforcement of contracts; restraining orders and contains no exemption at all. § 40-59-20 is the definitions section.

There is no square-footage cap and no permit counter

South Carolina does not limit how big the house is, and it does not limit you to one house every so many years. Read § 40-59-260 and § 40-11-360(5) end to end and there is no number of that kind anywhere in either. What limits you instead is the character of the project: sole occupancy by you or your family, not for sale or rent, and no public access. If a guide gives you a square footage or a one-per-year rule for South Carolina, it has borrowed it from another state.

TWO BOARDS, TWO EXEMPTIONS, ONE TWO-YEAR RULE

South Carolina regulates construction through two boards, both housed at the Department of Labor, Licensing and Regulation, and **each has its own owner exemption**. For a house on your own lot the Residential Builders Commission is the one that governs; the other exists so that nothing falls between them.

The residential exemption and its Chapter 11 twin

	Residential Builders Commission	Contractor's Licensing Board
Which statute	Title 40, Chapter 59 — § 40-59-260	Title 40, Chapter 11 — § 40-11-360(5)
Which board	Residential Builders Commission	Contractor's Licensing Board
What it covers	A residential building not over three floors in height and not more than sixteen units in any single apartment building (§ 40-59-20(6))	General and mechanical contracting — commercial work, and residential work outside the Commission's scope
Credential threshold	Cost of the undertaking exceeds \$5,000 for a residential builder; exceeds \$500 for a residential specialty contractor	Total cost of construction greater than \$10,000 for general or for mechanical contracting (§ 40-11-30)
The two-year rule	Selling, renting, or <i>offering</i> either within two years is prima facie evidence you built to sell — unless otherwise approved by the commission	The same words, and the same two years — but without the commission-approval escape
Who may do the work	You, your own employees, or licensed contractors and registered entities or individuals	You, your own employees, or licensed contractors

*S.C. Code Ann. § 40-59-20, § 40-59-260, § 40-11-30, § 40-11-360. The Chapter 11 threshold was **raised from \$5,000 to \$10,000** by 2023 Act No. 69, § 3, effective 19 May 2023 — a source quoting \$5,000 for general contracting is pre-2023. § 40-59-270 settles which board owns you: “The commission is the exclusive licensing and registration entity for persons who engage solely in residential building and in residential specialty contracting.”*

One Chapter 11 rule that binds you even when you are exempt

Section 40-11-300(A) makes it unlawful “for an **owner**, a construction manager, a prime contractor, or another entity with contracting or hiring authority on a construction project to divide work into portions so as to avoid the financial or other requirements of this chapter,” and says “The total cost of construction must be used to determine the appropriate license group for a project.” Splitting one \$60,000 scope into six \$9,000 contracts to keep everyone under the Chapter 11 threshold is the thing this sentence exists to forbid, and it names the owner first.

THE THREE CONDITIONS, AND WHERE PEOPLE TRIP

- **You must be “an owner of residential property.”** The statute does not define owner and does not literally say the deed must be in your name — but the county forms operationalize it that way. Charleston County's affidavit asks you to print the “Name of Owner on the Deed.” If the lot is held by an LLC you control, raise it with the permit office *before* you file rather than at the counter.
- **Sole occupancy by you or your family, and not for sale or rent.** This is a statement about intent at the time you build, which is why the two-year rule exists to test it after the fact.
- **The general public may not have access to the structure.** The quiet condition. A house is fine; a house with a shopfront, a public studio, or a rentable event space in it is not obviously fine. If any part of your building is meant for customers, ask before you design around the exemption.
- **Condition (1) is a list of three labor sources, not a general permission.** You may do the work yourself, use your own employees, or use licensed contractors and registered entities or individuals. There is no fourth option. The exemption is about *your* license to build; it never becomes a license for the person you pay.

The sentence that closes the “call him an employee” loophole

Section 40-59-260(B) ends: “This section does not exempt a person who is employed by the owner and who acts in the capacity of a builder or a specialty contractor of any kind.” Putting an unlicensed builder on your payroll does not import your exemption into him. And § 40-59-260(F) says it again from the other direction: “Nothing in this chapter may be construed to authorize an owner of a residential building or structure to hire a person or entity that is not licensed or registered in accordance with this chapter.”

Do not import the rule that applies to licensed builders. Section 40-11-270(E) lets a *licensee* “utilize the services of unlicensed subcontractors... provided, the licensee provides supervision.” That allowance runs to license holders. You are not one — you are exempt from needing one, which is a different thing.

THE TWO-YEAR RULE: WHAT ACTUALLY TRIGGERS IT

“In an action brought under this chapter, proof of the sale or rent or the offering for sale or rent of the structure by the owner-builder within two years after completion or issuance of a certificate or occupancy is prima facie evidence that the project was undertaken for the purpose of sale or rent, unless otherwise approved by the commission, and is subject to the penalties provided in this chapter.”

S.C. Code Ann. § 40-59-260(B), quoted exactly — “a certificate or occupancy” is the Code's own wording.

Five things the two-year sentence actually says

	What it means for you
Offering counts	The clause reads “the sale or rent or the offering for sale or rent. ” Listing the house inside the window is enough. You do not have to close.
Renting counts, and “rent” is broad	“‘Sale’ or ‘rent’ includes an arrangement by which an owner receives compensation in money, provisions, chattel, or labor from the occupancy.” Letting someone live in the house in exchange for work on it is renting it.
Two clocks, not one	The window runs “within two years after completion or issuance of a certificate of occupancy.” Those are usually different dates and the statute does not say which controls. Assume the earlier one starts it and the later one ends it.
It is evidence, not a verdict	“Prima facie evidence” shifts the burden onto you; it does not decide the case. And the subsection carries an express escape: “unless otherwise approved by the commission.”
The Chapter 11 twin has no escape	§ 40-11-360(5) states the same two-year presumption in almost identical words and simply omits the commission-approval clause.

The commission-approval route is real but undocumented: no published procedure, form or fee for it appears in the statute or in the Commission's regulations. If you can foresee a reason you may have to sell inside two years — a job transfer, a health change — raise it with the Residential Builders Commission in writing early, and keep the answer. Do not assume approval is routine.

THE DISCLOSURE STATEMENT YOU WILL SIGN

Two things happen at the counter, and the statute makes them conditions of the exemption rather than courtesies. First: **“To qualify for exemption under this section, an owner must personally appear and sign the building permit application.”** Not your designer, not your spouse with a power of attorney, not a scanned signature. Second: the local permitting agency “shall provide the person with a disclosure statement, provided by the department, in substantially the following form” — and then § 40-59-260(C) prints the form. Here it is, word for word.

Disclosure Statement — the statutory text

“State law requires residential construction to be done by licensed residential builders and specialty contractors. You have applied for a permit under an exemption to that law. The exemption allows you, as the owner of your property, to act as your own builder even though you do not have a license.

You must supervise the construction yourself. You may build or improve a one-family or two-family residence. The building must be for your own use and occupancy. It may not be built for sale or rent. If you sell or rent a building you have built yourself within two years after the construction is complete, the law will presume that you built it for sale or rent, which is a violation of this exemption.

You may not hire an unlicensed person as your residential builder or specialty contractor. It is your responsibility to make sure that people employed by you have licenses required by state law and by county or municipal licensing ordinances. Your construction must comply with all applicable laws, ordinances, building codes, and zoning regulations.”

Two limits that appear only in the disclosure

Read the two texts side by side and the disclosure is *narrower* than the statute it summarizes. Subsection (A) exempts an owner improving “the structure, group of structures, or appurtenances.” The disclosure says “You may build or improve a **one-family or two-family residence.**” Subsection (A) says nothing about supervision. The disclosure says “You must **supervise the construction yourself.**” Neither limit is reconciled anywhere in § 40-59-260, and the disclosure is the document you sign.

Counties may reword it — the statute only requires “substantially the following form.” Charleston County's version adds “direct, on-site supervision,” a bar on delegating supervision to an unlicensed contractor, and a carve-out stating that homeowners cannot pull permits for work on a manufactured home. Ask your own office for its form and read what you are actually signing.

THE NOTICE THAT KEEPS YOUR EXEMPTION ALIVE

This is the obligation South Carolina owner-builders miss, and it is the only one in the statute with a self-executing penalty:

“If a residential building or structure has been constructed by an owner under the exemption provided for in this section, the owner of the residential building or structure **must promptly file as a matter of public record a notice with the register of deeds, indexed under the owner's name in the grantor's index**, stating that the residential building or structure was constructed by the owner as an unlicensed builder. **Failure to do so revokes the statutory exemption.**”

S.C. Code Ann. § 40-59-260(E).

There is no fine and no notice period. The consequence is that the exemption you built the house under stops applying — which puts you, retrospectively, in the position of someone who did residential building without a license. § 40-59-30(A) makes that a misdemeanor carrying a fine of not less than \$500 and not more than \$10,000, or imprisonment of not less than thirty days, or both.

Two practical notes. The statute says “**promptly**” and gives no day count. And you should not have to hunt for the paperwork: § 40-59-260(D) obliges the permitting agency, “At the time an owner personally appears and signs the building permit application,” to “provide the owner with all forms necessary to comply with subsection (E).” **Ask for those forms while you are standing there.** Some counties fold the whole thing into permit issuance — Charleston County's notice is executed and recorded as a condition of approving the permit application, which turns a post-construction filing into a pre-permit one. Ask yours which way it runs, and

write the answer down.

What the notice does to a future sale

The notice is indexed in the **grantor's index** under your name, which is exactly where a buyer's title search looks. That is the point of it: the public record will say the house was built by an unlicensed builder. Plan for a buyer to ask about it, and keep your permit card, inspection results and certificate of occupancy together as the answer.

WHO YOU MAY PAY: THREE THRESHOLDS

Every guide to South Carolina prints \$5,000. It is the right number for exactly one question. Here are all three, in the order you will meet them on a job site.

Three thresholds, two chapters

Over	Triggers	What the statute says	Cite
\$500	Residential specialty contractor	A person doing specialized trade work “when the undertakings exceed five hundred dollars ” needs a specialty license or registration. This is the number that decides whether your tile setter, drywall hanger, mason or painter is legal. Raised from \$200 by 2022 Act No. 186.	§ 40-59-20(7)
\$5,000	Residential builder	Someone who “constructs, superintends, or offers to construct or superintend” the work needs a builder license “when the cost of the undertaking exceeds five thousand dollars. ” This is the license <i>you</i> are exempt from.	§ 40-59-20(6)
\$10,000	General or mechanical contractor	Chapter 11 licensure bites when the total cost of construction is “ greater than ten thousand dollars ” for general or for mechanical contracting. Mechanical includes commercial electrical and plumbing.	§ 40-11-30

A second \$5,000 exists and is a different rule: a licensed residential specialty contractor whose undertaking for a property owner exceeds \$5,000 must carry a surety bond approved by the Commission (§ 40-59-240(D), and Regulation 106-2 sets it at not less than \$10,000). Bonds run \$15,000 for a residential builder, \$10,000 for a specialty licensee and \$5,000 for a specialty registrant.

WHICH TRADES NEED WHICH CREDENTIAL

South Carolina splits residential trades into **licenses**, which require passing an examination, and **registrations**, which do not. Three trades are licensed. Everything else on the list is registered. Both are issued by the Residential Builders Commission, so both are checkable in one place.

Residential specialty classifications

	Trades	What to know
License, by examination	Plumbers · Electricians · Heating and air conditioning installers and repairers	Examination required since 1 July 2004. The residential HVAC classification is capped by regulation at five tons cooling and 175,000 BTU/HR heating per unit — a bigger unit is Chapter 11 work.
Registration, no examination	Masons · Carpenters · Roofers · Dry wall installers · Insulation installers · Floor covering installers · Vinyl and aluminum siding installers · Stucco installers · Painters and wall paperers · Solar panel installers	Registration still means a credential on file, a bond, and a credit report. “Masons” is the classification that covers poured-in-place concrete foundations, footings and reinforced slabs — your footing sub is a mason here, not a carpenter.

*S.C. Code Ann. § 40-59-20(7) and S.C. Code of Regulations 106-1 and 106-2. Two limits worth knowing before you build a schedule: a specialty contractor “is not authorized to construct additions to residential buildings or structures without supervision by a residential builder,” and is “prohibited from undertaking work outside the scope of his license or registration, including employing, hiring, and contracting or subcontracting with others to perform such work on his behalf” — so your tile setter may not sub out your drywall. A registrant may hold no more than **three** classifications (§ 40-59-240(A)); wanting a fourth means sitting the builder examination.*

Doing your own wiring and plumbing: a county question, not a state one

Section 40-59-260(A) removes Chapter 59 from “an owner... who improves the property... if the owner does the work himself.” On its face that includes the specialty license requirement, so the state licensing statute does not stand between you and your own wiring.

What it does not remove is the permit, the code or the inspection — the disclosure you sign says so in terms. And the practical gate is local: your building department decides what it will issue a homeowner trade permit for, and your utility decides what it will connect. Charleston County, for one, publishes a carve-out barring homeowners from pulling permits for work on a manufactured home. **Ask your office before you plan a schedule around owner-performed trade work, and write the answer on SC.4.**

IF YOU HIRE ANYONE: FOUR PROTECTIONS AND ONE DEADLINE

Checking a license is usually framed as a duty. In South Carolina it is also leverage, because the statutes attach real consequences to the unlicensed that work in your favor as the owner.

What the lien statutes give an owner-builder

	The rule	Cite
An unlicensed sub cannot lien you, and cannot sue you	“Notwithstanding Section 29-5-10, or another provision of law, a person or firm who first has not procured a license or registered with the commission and is required to do so by law may not file a mechanics' lien or bring an action at law or in equity to enforce the provisions of a contract for residential building or residential specialty contracting.”	§ 40-59-30(B)
The license number goes on the lien itself	A contractor filing a lien “must record his contractor license number or registration number on the lien document.” A lien with no number on it is a lien to question.	§ 29-5-15(A)
A frivolous lien is expensive for the filer	“A contractor who files a frivolous lien is subject to a fine up to five thousand dollars , the loss of his registration or contractor license, or both.”	§ 29-5-15(B)
Winning against a lien pays your lawyer	“If the party defending against the lien prevails, the defending party must be awarded costs of the action and a reasonable attorney's fee.” Capped at the amount of the lien. The fee shift runs both ways in South Carolina.	§ 29-5-20(A)
But the clock is short, and it is theirs	A lien dissolves unless, within ninety days of ceasing work, the claimant both serves you and files a sworn statement of account — and dissolves again unless suit is commenced and a notice of pendency filed within six months .	§ 29-5-90, § 29-5-120(A)

Title 29, Chapter 5, S.C. Code Ann. § 29-5-40 caps the whole exposure: “in no event shall the aggregate amount of liens set up hereby exceed the amount due by the owner on the contract price of the improvement made.” And § 29-5-80 lets an owner head off a lien for work not yet done “by giving notice, in writing, to the person performing or furnishing such labor... that he will not be responsible therefor.”

\$15 and fifteen days: the filing almost nobody makes

Section 29-5-23 lets a person who has a direct agreement with, or the consent of, an owner file a **Notice of Project Commencement** with the clerk of court or register of deeds. It must be filed “within fifteen days of the commencement of work” with “a filing fee of fifteen dollars,” and a location notice must be posted at the job site carrying wording the statute prescribes.

Why it matters to you: the cap in § 29-5-20(B) — which stops a supplier to one of your subs from claiming a lien against you for more than your sub was owed — only operates if that notice exists. The statute is blunt about it: “The failure to file a notice of project commencement shall render the provisions of Sections 29-5-20(B) and 29-5-60(B) inapplicable.” Filing it also “shall not constitute a cloud, lien, or encumbrance upon, or defect to, the title.”

The honest caveat: the section is drafted for a contractor-led job — the posted notice literally begins “The contractor on the project has filed...” — and it does not say in terms whether an owner acting as their own builder files it in their own name. Ask the clerk of court or register of deeds for your county how they take it, before your fifteen days run out.

WORKERS' COMPENSATION

South Carolina's coverage test is **disjunctive**, and both halves matter. The Act does not apply to “any person who has regularly employed in service **less than four employees** in the same business within the State **or** who had a total annual payroll during the previous calendar year of **less than three thousand dollars** regardless of the number of persons employed during that period.”

S.C. Code Ann. § 42-1-360(2). The Workers' Compensation Commission counts part-time workers and family members as employees. It also does not issue exemption certificates — its own guidance says the Commission “does not certify that employers are not subject to the Act,” so any exemption affidavit a permit office asks for is a form that office wrote, not a state one.

- **Opting in is stickier than opting out.** An exempt employer who elects coverage comes under the Act thirty days after written notice (§ 42-1-380), and stops being liable only sixty days after written notice of withdrawal (§ 42-1-390).
- **Read the statutory-employer section before you count heads.** Section 42-1-400 makes an “owner” who “undertakes to perform or execute any work **which is a part of his trade, business or occupation**” and subcontracts it liable to a subcontractor's workman as if he had employed them directly. Whether that reaches a homeowner building one house for themselves turns on that quoted phrase, and it is a question decided case by case — the Commission's own guidance answers the general version with “Maybe.”

BEFORE YOU GO TO THE COUNTER

Work this with a pen

	Item	Date	Notes
☐	Confirmed the property is in the name you will sign under, and how your office treats a lot held by an entity		
☐	Booked time to appear in person — the exemption requires it, and nobody may sign for you		

Work this with a pen

	Item	Date	Notes
☐	Asked the permit office for its owner-builder disclosure form and read it (it may be narrower than the statute) Form name _____ Date _____		
☐	Asked for the register-of-deeds forms at the same visit, as § 40-59-260(D) requires — and established whether your county records the notice before the permit or after completion Which _____ Date _____		
☐	Established whether your county lets a homeowner pull electrical, plumbing and mechanical permits, and on what terms		
☐	Listed every trade you intend to pay more than \$500 and checked each credential with the Residential Builders Commission		
☐	Decided whether a Notice of Project Commencement will be filed, and by whom, inside fifteen days of starting work Who files _____ Date _____		
☐	Counted employees against the four-employee and \$3,000-payroll workers' compensation tests		
☐	Written the exemption cite on the application if the form asks for authority: § 40-59-260		

SOURCES**Sources — every South Carolina claim in this document (verified September 2026)**

What this document states	Authority
The owner-builder exemption, its three conditions, the disclosure statement and the register-of-deeds notice	S.C. Code Ann. § 40-59-260
Unlicensed practice is a misdemeanor; an unlicensed person may not lien or sue on the contract	S.C. Code Ann. § 40-59-30
Residential builder \$5,000; residential specialty \$500; the thirteen specialty classifications and the license/registration split	S.C. Code Ann. § 40-59-20(6), (7)

Sources — every South Carolina claim in this document (verified September 2026)

What this document states	Authority
Maximum three specialty classifications; bond above \$5,000; counties may license but may not re-examine	S.C. Code Ann. § 40-59-240
The Commission is the exclusive licensing entity for residential work	S.C. Code Ann. § 40-59-270
The building official must refuse a permit absent license, registration or exemption	S.C. Code Ann. § 40-59-280
Scope of each specialty classification; the five-ton and 175,000 BTU/HR residential HVAC cap; which three trades are licensed by examination	S.C. Code of Regs. 106-1, 106-2
Chapter 11 threshold of \$10,000; the owner exemption twin; the anti-splitting rule that binds owners	S.C. Code Ann. § 40-11-30, § 40-11-300, § 40-11-360
Mechanics' liens: license number on the lien, frivolous-lien fine, two-way fee shift, ninety days, six months, owner's cap, notice of nonresponsibility	S.C. Code Ann. § 29-5-15, § 29-5-20, § 29-5-40, § 29-5-80, § 29-5-90, § 29-5-120
Notice of Project Commencement — fifteen days, \$15, and what failing to file costs the owner	S.C. Code Ann. § 29-5-23
Workers' compensation: fewer than four employees or under \$3,000 payroll; election and withdrawal; statutory employer	S.C. Code Ann. § 42-1-360, § 42-1-380, § 42-1-390, § 42-1-400

Everything cited here is free to read, in three places. Statutes (**S.C. Code Ann. § 40-59-260**) are at **scstatehouse.gov** → Code of Laws, and the whole chapter loads at one address you can type directly — scstatehouse.gov/code/t40c059.php, where **t40** is the Title and **c059** the chapter, zero-padded to three digits. Titles used here: **6** local government (building codes, the Energy Standard Act), **15** the eight-year repose, **29** mechanics' liens, **40** licensing, **44** health, **48** the coast. Regulations are at **scstatehouse.gov/coderegs/**, by chapter number. **One warning when you look something up:** a search engine will still hand you pages naming **DHEC**, an agency that ceased to exist in 2024 — check the masthead of any septic, well or coastal page you land on before you trust it. Read September 2026.